

Time for Core (Plus) Bond Portfolios Again?

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Investment implications

We see growing evidence suggesting that investors should consider moving from a short-duration bias toward core (plus) bond portfolios. This is largely predicated on the fact that valuations have become more attractive across fixed income sectors, with all-in yields approaching compelling levels. Our guidepost remains 10-year Treasury yields near the upper end of their recent range. We continue to believe that this is a market for an active, selective approach. Please see our sector views below.

Central banks: We have a new Federal Reserve (Fed) chair, and if we take him at his word, it feels like a new environment has begun. The rhetoric is hawkish, reinforcing that the 2% inflation target is by no means soft. Importantly, there's also a strong push for no forward guidance, with the market invited to react to incoming data as it sees fit. That likely means a higher-volatility environment and, all else equal, a higher risk premium demanded by bond investors. As a result, all eyes are now on the data. If the data fails to confirm moderating inflation, the market will demand Fed action. If the data does confirm it, the market can justify a pause. In both cases, longer duration can perform well. The risk is the Fed policymakers talking but not acting when needed—that would make the bond market angry. We see the risk-reward of extending duration as improving and are happy to do so at certain yield levels.

US Treasuries: Our view is that 10-year Treasury yields will remain broadly range-bound, which means the closer they get to 4.75%, the more attractive it becomes to move into intermediate duration. We believe it is reasonable to begin extending duration around those yield levels.

Developed markets credit: Historically elevated investment-grade bond issuance that the market needed to absorb widened spreads from their tightness to levels closer to fair value, while the broader fundamental backdrop remains healthy. Supply should also slow in the second half of the year. In the high-yield space, spreads have also widened somewhat. We remain biased toward higher-rated issuers in high yield. All-in yields are attractive and provide resilience across a range of scenarios.

Emerging market (EM) debt: While it has been the best-performing fixed income sector year-to-date, we think it's time to be more selective. In local-currency EM debt, Latin America has been the top performer (as we highlighted), and we expect this to continue. As a stronger US dollar remains a risk, in our view allocations should be balanced with US dollar-denominated EM debt, which is less sensitive to currency moves.

Euro bonds: As mentioned previously, we believe German Bund yields (Europe's benchmark government bond yields) will remain broadly range-bound. They closely track expected monetary policy, which has recently been driven largely by gas prices. With Bund yields above 3.1%, we find them attractive for medium-term investors. Hedged yields for US dollar-based investors are on par with US Treasuries, meaning there is little opportunity cost to global diversification.

Performance snapshot

Global fixed income performance has remained largely uninspiring this year, with the Bloomberg Global Aggregate Index still slightly underwater. Relative performance has been stronger in emerging market debt, particularly US dollar-denominated debt. The picture is more nuanced in local-currency EM debt, which we discuss later. US high yield has also outperformed. Within higher-quality fixed income, US short-duration strategies have also held up relatively well. These are essentially the sectors we have been highlighting throughout the year.

Exhibit 1: Fixed Income Sector Performance-Last 12 Months and YTD

All total returns are presented in the indices' base currency, which is USD, except for the Europe Aggregate indices (EUR) and the Asia Pacific Aggregate indices (JPY). EM Local Currency = J.P. Morgan GBI-EM Global Diversified Index; EM Hard Currency = J.P. Morgan EMBI Global Diversified Face Constrained Index; Global Aggregate = Bloomberg Global Aggregate Index; US = Bloomberg US Corporate Index; US High Yield = Bloomberg US Corporate High Yield Index; Europe Aggregate = Bloomberg Pan-European Aggregate Index; US Aggregate = Bloomberg US

Aggregate Index; Global Inflation-Linked = Bloomberg Global Inflation-Linked Index; US Treasury = Bloomberg US Treasury Index; US Treasury Long = Bloomberg US Long Treasury Index; US Treasury Short = Bloomberg US Treasury 1-3 Year Index; Europe Aggregate Long = Bloomberg Pan-European Aggregate 10+ Index; Asia Pacific Aggregate = Bloomberg Asian Pacific Aggregate Index; Asia Pacific Aggregate Long = Bloomberg Asian Pacific 10+ Index. Sources: J.P. Morgan, Bloomberg, Macrobond. Past performance does not predict future returns. As of July 17, 2026.

US Treasuries

We believe benchmark 10-year Treasury yields will remain broadly range-bound, and investors should take advantage when yields are close to the upper end of that range (~4.75%). Recent history (Exhibit 2) suggests this strategy has worked well and remains our playbook for the second half of 2026.

Exhibit 2: 10-Year Treasury Yield Levels and US Agg Bond Forward Returns

Sources: Bloomberg, Macrobond. Analysis by Franklin Templeton Institute. As of July 22, 2026. Important data provider notices and terms available at www.franklintempletondatasources.com. Indexes are unmanaged and one cannot invest directly in an index. They do not reflect any fees, expenses or sales charges. Past performance does not predict future returns or a guarantee of future results.

Of course, yields could move higher, but at these levels we view the risk-reward as favorable and do not see a high risk of yields moving significantly above the recent range over the coming months. The main reason is that a lot is already priced in-the market expects more than two Fed hikes over the next 12 months,¹ while the current term premium (the risk premium in bond jargon) is close to 70 basis points (bps),² versus a recent high of around 90 bps. A meaningful move above 5% in 10-year Treasury yields would likely require a further significant repricing of both monetary policy expectations and the term premium.

The major risk is that the Fed turns more hawkish than in our base case. We acknowledge this risk, but we also think that realized hikes could, in fact, cause longer-duration bonds to catch a bid, as they would demonstrate a strong commitment to fighting inflation and could lead to a repricing of growth expectations.

For conservative mandates, we continue to view short-duration bonds as a portfolio pillar. They are highly resilient across scenarios-two-year Treasury yields would need to rise above 9% before investors started losing money, assuming a one-year investment horizon (Exhibit 3).

Exhibit 3: Treasury Breakeven Yield Levels by Tenor

As of July 24, 2026. Breakeven yield indicates the yield level at which total returns turn negative, assuming a one-year investment horizon. Calculated using the Bloomberg FISA model. Source: Bloomberg. Analysis by Franklin Templeton Institute. There is no assurance that any estimate, forecast or projection will be realized.

Developed markets credit

The major story in credit markets lately has been investment-grade (IG) bond supply, driven in part by hyperscaler borrowing. More than US\$1.2 trillion³ of IG issuance came to market through the first six months of the year-well above historical norms (Exhibit 4). Our seasonality analysis suggests supply should slow in the second half of 2026. Based on the 2015-2025 period, average monthly IG issuance was US\$134 billion in the first half of the year, compared with US\$98 billion in the second half. This should provide some relief at a time when credit spreads have widened from their tights and are back around April 2026 levels.

Exhibit 4: Investment-Grade US Dollar Bond Issuance

Sources: SIFMA, Bloomberg, Macrobond. Analysis by Franklin Templeton Institute. See www.franklintempletondatasources.com for additional data provider information.

We continue to view an all-in yield on high yield bonds north of 7% as attractive. Spreads are no longer at their tights but remain historically low. However, low duration and an improved credit profile make the asset class more resilient than many assume. Exhibit 5 illustrates a range of total return scenarios for high yield. It is difficult to push returns into negative territory. The analysis assumes stable default rates, and we don't see any imminent signs suggesting otherwise. We remain biased toward higher-rated issuers, though. Triple-C credit is more vulnerable and has underperformed this year-something we are monitoring, but not yet a reason for concern about the broader high yield market.

Exhibit 5: One-Year US High-Yield Return Scenarios

Source: Bloomberg. Analysis by Franklin Templeton Institute. As of July 23, 2025. US high yield refers to the Bloomberg US High Yield Index. The analysis assumes that the default rate and loss given default remain in line with the past 12 months. Expected returns are calculated using the index's current yield to worst and the relationship between changes in total yield (reference Treasury yield + spread), duration, and convexity. Default drag, calculated as the default rate multiplied by loss given default, is also incorporated. Option-adjusted spread (OAS) is used (278 bps as of July 23, 2026). The three-year Treasury yield is used as the reference rate, as it is closest to the index's duration (4.37% as of July 23, 2026). Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results.

Emerging market debt

We continue to reinforce the importance of being selective in the EM debt space, although we do still see opportunities. Some EM countries demonstrated their resilience during the recent turmoil in the oil market, mainly as a result of high carry and improved resilience to external shocks, including dependence on oil imports. Latin America (our top pick) has performed strongly for exactly these reasons (Exhibit 6). We continue to favor high-carry countries that are not dependent on oil imports and whose central banks retain policy flexibility-many of them can be found in Latin America.

Exhibit 6: Emerging Market Debt Local Currency Performance by Region (YTD)

Based on JPMorgan JBI-EM sub-indices. Sources: JP Morgan, Bloomberg, Macrobond. Analysis by Franklin Templeton Institute. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator or a guarantee of future results. As of July 24, 2026.

The major risk is a stronger US dollar. That's why we believe EM debt allocations should be balanced, including exposure to USD-denominated debt (which is less directly affected by currency moves), and appropriately sized within portfolios.

Euro debt

The current environment in Europe can be characterized by economic data surprising to the upside and inflation data surprising to the downside (Exhibit 7). Recently, however, benchmark yields have been driven primarily by oil and gas prices rather than macroeconomic data.

Exhibit 7: Eurozone Inflation and Growth Surprises

Bloomberg Surprise Indices: Values above 0 indicate higher-than-expected inflation and stronger-than-expected growth; values below 0 indicate the opposite. Sources: Bloomberg, Macrobond. Analysis by Franklin Templeton Institute. As of July 24, 2026.

We find Bund yields north of 3.1% increasingly attractive, with further upside appearing relatively limited across a range of scenarios. If the situation in the Middle East normalizes, inflation surprises are likely to remain on the downside, allowing rate hikes by the European Central Bank that are currently priced in to be priced out, providing relief for yields.

If tensions in the Middle East escalate further, Europe's energy-dependent economy would likely be more vulnerable. In that scenario, a more hawkish ECB could amplify the deterioration in growth expectations, which should ultimately be reflected in longer-dated yields.

For US dollar-based investors, hedged Bund yields are slightly higher than those on comparable US Treasuries,⁴ meaning there is little opportunity cost to global diversification. We therefore believe hedged exposure makes sense, particularly given the risk of a stronger US dollar.

Endnotes

Based on one-year, three-month forward Overnight Index Swap (OIS) pricing as of July 28, 2026. There is no assurance that any estimate, forecast or projection will be realized.

Based on the ACM term premium estimate from the Federal Reserve Bank of New York, as of July 26, 2026.

Source: SIFMA.

Hedging costs are estimated using the three-month currency hedge cost for US dollar-based investors. This assumes

investors sell U.S. dollars to buy a foreign currency in the spot market while simultaneously selling that foreign currency in the forward market to buy back US dollars. As of July 24, 2026.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce the desired results.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

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